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POLICY NUMBER: **FP-FIN-017**

INTANGIBLE ASSETS

ACCOUNTING POLICY

The purpose of this policy is to provide comprehensive guidance regarding Hilton Worldwide Holdings Inc.'s ("Hilton's") accounting for intangible assets in accordance with U.S. Generally Accepted Accounting Principles ("GAAP") Accounting Standard Codification ("ASC").

POLICY STATEMENT

Hilton was acquired by affiliates of Blackstone Inc. (“Blackstone”) on October 24, 2007 which resulted in the recognition of certain finite-lived and indefinite-lived intangible assets. Hilton may also recognize intangible assets resulting from other transactions or events, such as business acquisitions, internally developed software, incentives given to owners to enter into a contract, or the purchase or defense of certain trade names/trademarks. Refer to **FP-FIN-035—Business Combinations Accounting Policy** for details on assessing and allocating the purchase price to acquired intangible assets, **FP-FIN-016—Internal Use Software Accounting Policy** for details on capitalizing costs associated with the development of those assets, and **FP-FIN-003—Contract Acquisition Cost Accounting Policy** for details on costs associated with incentives given to owners. Pre-acquisition and post-acquisition designations refer to the Blackstone acquisition.

SCOPE

Intangible assets are assets that lack physical substance and can either have a finite or indefinite life.¹ Hilton has both finite-lived and indefinite-lived intangible assets. Examples of Hilton’s finite-lived intangible assets include, but are not limited to:

- Pre-acquisition lease contracts
- Post-acquisition contract acquisition costs (“CAC”)
- Internally developed software

Examples of the Hilton’s indefinite-lived intangible assets include, but are not limited to:

- Intellectual property associated with certain brands that existed prior to Blackstone’s acquisition of Hilton
- Goodwill resulting from the acquisition by Blackstone

The scope of this policy covers the majority of intangible assets held by Hilton listed above with the exception of post-acquisition CAC and internally developed software, which are covered under separate policies. Refer to **FP-FIN-003—Contract Acquisition Cost Accounting Policy** and **FP-FIN-016—Internal Use Software Accounting Policy** for details.

APPLICABILITY

This policy applies to all Finance, Development, and Legal personnel.

EXCLUSIONS / EXCEPTIONS

Internally developed intangible assets (e.g., new brands or trademarks), excluding internally developed software, are typically not recognized as intangible assets. Instead, costs incurred to internally develop or create an intangible asset are expensed as incurred. This includes the cost of internally developing, maintaining, or restoring intangible assets, including goodwill.²

AUTHORIZATIONS

Required Consultations with Technical Accounting (“TA”)

TA must be notified to determine the appropriate accounting for all the following situations:

1. All proposed sales or spinoff of brands.
2. All proposed sales or spinoffs of Hilton’s major assets or reporting units (e.g., management and franchise).
3. All proposed real estate property or business acquisition depositions that would be significant to the Hilton’s operating segments or reporting units.
4. Any impairment of Hilton’s intangible assets.

¹ ASC 350-30-20, Master Glossary, Intangible Assets

² ASC 350-30-25-3, Intangibles – Goodwill and Other, General Intangibles Other Than Goodwill, Recognition

INITIAL RECOGNITION AND MEASUREMENT

a. *Intangibles Recognized through Business Combinations*

Recognition of intangible assets can result from a business combination. Common intangible assets identified in business combinations may include above or below market leases, trademarks, customer lists and goodwill. This policy only provides guidance for the subsequent measurement for these intangible assets and does not cover the accounting for the acquisition of intangible assets acquired in a business combination. Refer to **FP-FIN-035—Business Combinations Accounting Policy** for guidance on the initial recognition and measurement of intangible assets, including goodwill, that were acquired as part of a business combination.

b. *Purchased Intangibles*

Intangible assets (e.g., trademarks or licenses) can be acquired individually or within a group of other assets in a transaction other than a business combination. The cost to acquire the intangible assets is capitalized based on an allocation to each individual intangible asset acquired using their relative fair values.³ Refer to **FP-FIN-014—Fair Value Accounting Policy** for guidance on determining fair value.

c. *Internally Developed Intangible Assets*

With the exception of internal-use software, the costs of internally developing, maintaining, or restoring intangible assets that are not specifically identifiable, that have indeterminate lives, or that are inherent in a continuing business or non-profit activity and related to an entity as a whole are recognized as an expense when incurred.⁴ However, costs to protect or defend Hilton's trade names, trademarks, or patents are capitalizable if they are likely to succeed, as they are considered part of obtaining the future economic benefits of the trade name, trademark or patent. For internal use software, refer to **FP-FIN-016—Internal Use Software Accounting Policy** for details.

d. *Contract-Related Intangibles*

Incentives offered to hotel and resort owners that relate to the acquisition, amendment, or extension of our management, franchise, or marketing and license contracts that would not have been incurred but for the acquisition, amendment, or extension of those contracts, and are expected to be recovered through revenue over the term of the contract may be capitalizable as contract intangible assets. Refer to **FP-FIN-003—Contract Acquisition Cost Accounting Policy** for details.

SUBSEQUENT MEASUREMENT

a. *Useful Life Determination*

The accounting for a recognized intangible asset is based on its useful life. The useful life of an intangible asset is the period over which the asset is expected to contribute directly or indirectly to the future cash flows.⁵ Hilton's estimate of the useful life of an intangible asset is based on an analysis of the legal, regulatory, contractual, competitive, economic, or other factors that may limit the expected period the intangible asset can contribute to Hilton's future cash flows.⁶ If there is no limit on the period of time the intangible asset is expected to contribute to Hilton's cash flows, the useful life is indefinite.⁷

Hilton will evaluate the remaining useful life of both its finite and indefinite intangible assets each reporting period to determine if a revision is required.^{8,9} A revision may be required if the period over which the intangible asset is expected to contribute to Hilton's future cash flows is determined to be different than the original assessment.

³ ASC 350-30-25-2 *Intangibles – Goodwill and Other, General Intangibles Other Than Goodwill, Recognition*

⁴ ASC 350-30-25-3, *Intangibles – Goodwill and Other, General Intangibles Other Than Goodwill, Recognition*

⁵ ASC 350-30-35-2, *Intangibles – Goodwill and Other, General Intangibles Other Than Goodwill, Subsequent Measurement*

⁶ ASC 350-30-35-3, *Intangibles – Goodwill and Other, General Intangibles Other Than Goodwill, Subsequent Measurement*

⁷ ASC 350-30-35-4, *Intangibles – Goodwill and Other, General Intangibles Other Than Goodwill, Subsequent Measurement*

⁸ ASC 350-30-35-9, *Intangibles – Goodwill and Other, General Intangibles Other Than Goodwill, Subsequent Measurement*

⁹ ASC 350-30-35-16, *Intangibles – Goodwill and Other, General Intangibles Other Than Goodwill, Subsequent Measurement*

b. Amortization

An intangible asset with an indefinite useful life is not amortized, while an intangible asset with a finite useful life is amortized.¹⁰ The method of amortization is required to reflect the pattern that the economic benefits of the intangible asset are consumed or otherwise used.¹¹ The majority of Hilton's intangible assets are amortized on a straight-line basis over the estimated useful life of the intangible asset.

Under the straight-line amortization method, a year's amortization is calculated by dividing the current balance of the intangible asset by the intangible asset's remaining estimated useful life. The basic formula is as follows:

$$\text{Annual Amortization Expense} = \frac{\text{Intangible Asset's Current Balance}}{\text{Remaining Estimated Useful Life (Years)}}$$

Below are Hilton's major intangible assets and how Hilton subsequently accounts for such intangibles.

<u>Intangible Asset Category</u>	<u>Type of Useful Life</u>	<u>Useful Life and Amortization¹</u>
Management, franchise and marketing and license contracts (post-acquisition)	Finite	- Useful life is the contract term, including any renewal periods at Hilton's sole option - Straight-line amortization
Lease contracts (pre-acquisition)	Finite	- Useful life was determined at the time of Blackstone's acquisition and is equal to the remaining term of the lease contract at the time of the acquisition - Straight-line amortization
Internally developed software	Finite	- Useful life determined at the time of capitalization, refer to FP-FIN-016—Internal Use Software Accounting Policy for details - Straight-line amortization
Brands (pre-acquisition)	Indefinite	Not amortized as assets have an indefinite useful life
Goodwill	Indefinite	Not amortized as goodwill has an indefinite life

¹ The amortization or non-amortization of an intangible asset or use of an amortization methodology for an intangible asset other than those presented requires consultation with TA.

c. Impairment

Intangible assets become impaired when the carrying amount of the intangible asset is not recoverable and exceeds its fair value.¹² Indefinite lived intangible assets are evaluated for indicators of impairment at least annually, and more frequently if there are changes in circumstances that indicate that it is more likely than not that the asset is impaired.¹³ Finite lived intangible assets are tested annually for impairment as well as whenever events or changes in circumstances indicate that its carrying value may not be recoverable.^{14, 15} Refer to **FP-FIN-033—Impairment Accounting Policy** for details around Hilton's impairment process.

If an impairment loss is recognized, the intangible asset's carrying amount is reduced by an amount equal to the impairment loss. The adjusted carrying amount of the intangible asset becomes its new accounting basis.¹⁶ If the intangible asset is a finite-lived intangible asset, the new accounting basis is amortized over the remaining estimated useful life of the asset.^{17, 18} Restoration of a previously recognized impairment loss is prohibited.¹⁹ If costs incurred to protect or defend a Hilton trade name, trademark, or patent were previously capitalized and Hilton is ultimately not successful in such defense, the related costs should be written off as an impairment loss.

DERECOGNITION

a. *Goodwill*

Besides impairment, goodwill is only derecognized when all or a portion of its associated reporting unit is disposed. If only a portion of a reporting unit is disposed, the portion being disposed must constitute a business (refer to **FP-FIN-035—Business Combinations Accounting Policy** for guidance on the definition of a business), otherwise no goodwill is derecognized.²⁰ When a portion of a reporting unit that constitutes a business is disposed, the amount of goodwill to be derecognized is based on the relative fair values of the portion of the reporting unit to be disposed of and the portion of the reporting unit that will be retained.²¹ The amount of goodwill to be derecognized shall be included in the carrying amount of the reporting unit or business being disposed of when determining the gain or loss to be recognized on disposal.²²

When only a portion of a reporting unit that constitutes a business is disposed, the remaining goodwill in the reporting unit is tested for impairment.²³ Refer to **FP-FIN-033—Impairment Accounting Policy** for details on impairment testing for goodwill.

PRESENTATION

a. *Contract-Related Intangibles*

Intangible assets related to Hilton's management, franchise, and marketing and license contracts are recorded within 'Management and franchise contracts, net' in the Consolidated Balance Sheet.

b. *Lease Intangibles*

Below and above market leases acquired as part of Blackstone's acquisition of Hilton are recorded within 'Other intangible assets, net' in the Consolidated Balance Sheet.

c. *Internally developed software*

Intangibles for Hilton's internally developed software are recorded within 'Other intangible assets, net' in the Consolidated Balance Sheet.

d. *Brands*

The intellectual property associated with certain brands that existed at the time of Blackstone's acquisition of Hilton are recorded within 'Brands' in the Consolidated Balance Sheet.

e. *Goodwill*

The goodwill recognized upon Blackstone's acquisition of Hilton is recorded within 'Goodwill' in the Consolidated Balance Sheet.

f. *Amortization Expense*

Amortization of finite-lived intangible assets is recognized within 'Depreciation and amortization' in the Consolidated Statement of Operations.

¹⁰ ASC 350-30-35-1 Intangibles – Goodwill and Other, General Intangibles Other Than Goodwill, Subsequent Measurement

¹¹ ASC 350-30-35-6 Intangibles – Goodwill and Other, General Intangibles Other Than Goodwill, Subsequent Measurement

¹² ASC 350-30-35-14 and ASC 350-30-35-19, Intangibles – Goodwill and Other, General Intangibles Other Than Goodwill, Subsequent Measurement

¹³ ASC 350-30-35-18, Intangibles – Goodwill and Other, General Intangibles Other Than Goodwill, Subsequent Measurement

¹⁴ ASC 350-30-35-14, Intangibles – Goodwill and Other, General Intangibles Other Than Goodwill, Subsequent Measurement

¹⁵ ASC 360-10-35-21, Property, Plant, and Equipment, Overall, Subsequent Measurement

¹⁶ ASC 350-30-35-14 and ASC 350-30-35-19, Intangibles – Goodwill and Other, Subsequent Measurement

¹⁷ ASC 350-30-35-14, Intangibles – Goodwill and Other, Subsequent Measurement

¹⁸ ASC 360-10-35-20, Property, Plant, and Equipment, Overall, Subsequent Measurement

¹⁹ ASC 350-30-35-14 and ASC 350-30-35-20, Intangibles – Goodwill and Other, Subsequent Measurement

²⁰ ASC 350-20-40-2, Intangibles – Goodwill and Other, Goodwill, Derecognition

²¹ ASC 350-20-40-3, Intangibles – Goodwill and Other, Goodwill, Derecognition

²² ASC 350-20-40-1 through 40-3, Intangibles – Goodwill and Other, Goodwill, Derecognition

²³ ASC 350-20-40-7, Intangibles – Goodwill and Other, Goodwill, Derecognition

FINANCIAL STATEMENT LINE ITEMS AFFECTED

Note: The following section addresses the financial statement line items affected by the accounting for routine transactions covered by this policy. For all transactions that require a consultation with TA, please defer to the guidance provided by TA regarding the appropriate financial statement line items affected by the transaction.

<u>Transaction</u>	<u>Affected</u>		
	Balance Sheet Line Item	Income Statement Line Item	Cash Flow Statement Section
Initial capitalization of non-contract-related intangibles (e.g., lease intangibles and internally developed software)	- Other intangible assets, net (debit) - Cash and cash equivalents (credit); or - Accounts payable, accrued expenses and other (credit)	- N/A	- Investing Activities (Outflow)
Initial capitalization of contract-related intangibles (e.g., management, franchise and marketing and license contracts)	- Management and franchise contracts, net (debit) - Cash and cash equivalents (credit); or - Accounts payable, accrued expenses and other (credit)	- N/A	- Operating Activities (reconciling item to net income)
Amortization of non-contract-related intangibles (e.g., lease intangibles and internally developed software)	- Other intangible assets, net (credit)	- Depreciation and amortization (debit)	- Operating Activities (reconciling item to net income)
Amortization of contract-related intangibles (contract acquisition costs)	- Management and franchise contracts, net (credit)	- Franchise Fees (debit); or - Base and other management fees (debit)	- Operating Activities (reconciling item to net income)
Amortization of contract-related intangibles (costs to obtain a contract)	- Management and franchise contracts, net (credit)	- Depreciation and amortization (debit)	- Operating Activities (reconciling item to net income)
Sale of a business in a reporting unit in which the reporting unit has goodwill	- Cash and cash equivalents (debit) - Goodwill (credit)	- Gain (loss) on sale of assets (credit or debit)	- Investing Activities (Inflow)

RELATED DOCUMENTS, TOOLS, AND TEMPLATES

POLICIES & PROCEDURES

[FP-FIN-003—Contract Acquisition Cost Accounting Policy](#)

[FP-FIN-014—Fair Value Accounting Policy](#)

[FP-FIN-016—Internal Use Software Accounting Policy](#)

[FP-FIN-033—Impairment Accounting Policy](#)

[FP-FIN-035—Business Combinations Accounting Policy](#)

TERM/ACRONYM	DEFINITION
Finite-Lived Intangible Assets	These assets have a determinable useful life. The useful life of an intangible asset is the period the asset is expected to contribute directly or indirectly to the cash flows of Hilton. These intangible assets are subject to amortization.
Goodwill	An asset representing the future economic benefits arising from other assets acquired in a business combination that are not individually identified and separately recognized.
Indefinite-Lived Intangible Assets	The useful life of an intangible asset is indefinite if Hilton determines there is no foreseeable limit on the period of time the asset is expected to contribute to Hilton’s cash flows. These assets are not subject to amortization.
Reporting Unit	The level of reporting at which goodwill is tested at for impairment. A reporting unit is an operating segment or one level below an operating segment (also known as a component).

ROLES AND RESPONSIBILITIES

ENTITY/PERSONNEL	RESPONSIBILITIES
Technical_Accounting@hilton.com	The email represents the TA contact address. Please direct any questions regarding the interpretation or implementation of this policy to a member of the TA team or the listed email.